Managerial Decision-Making

Learning Objectives

- Describe basic characteristics of managerial decision-making.
- Contrast reflective and reactive decision-making systems.
- Distinguish programmed from nonprogrammed decisions.
- Identify barriers to effective decision-making, including confirmation bias.
- Apply techniques that improve individual and group decisions.

Sources: objectives.md#Learning objectives, openstax-ch2-managerial-decision-making.pdf#p1

Why Managerial Decision-Making Matters

- Managers make decisions on a daily basis.
- Decision-making is thinking through options and selecting one.
- Decision quality affects the organization and its stakeholders.
- Top managers decide about technology or product lines; lower-level managers affect departments.
- Stakeholders include owners, employees, customers, suppliers, and community members.

Sources: openstax-ch2-managerial-decision-making.pdf#p1, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p3

Basic Characteristics

- Managerial decisions often have significant impact and implications.
- They often involve complexity, incomplete information, and time constraints.
- There is rarely one right answer.
- Sometimes there are multiple good options or multiple bad options.
- Managers must weigh consequences and recognize conflicting stakeholder needs.
- Some decisions have ethical implications.

Sources: openstax-ch2-managerial-decision-making.pdf#p10, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p3, openstax-ch2-managerial-decision-making.pdf#p4

Two Brain Systems

- The reflective system is logical, analytical, and methodical.
- The reactive system is quick and intuitive.
- Nonprogrammed decisions generally need reflective processing.
- Programmed decisions can use reactive processing through heuristics.

Sources: objectives.md#Learning objectives, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p7, openstax-ch2-managerial-decision-making.pdf#p9

Programmed Decisions

- Programmed decisions are repeated over time.
- They can be guided by existing rules or criteria.
- Their criteria may be simple or fairly complex.
- Example: scheduling part-time employees using anticipated business and availability.
- Example: ordering raw materials based on production, existing stock, and delivery timing.

Sources: openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p7, publisher-slides-standin.pptx#slide4

Nonprogrammed Decisions

- Nonprogrammed decisions are novel.
- They lack well-defined or known criteria.
- They require research, information, and other people's ideas.
- They should be handled with a systematic process.
- Example: deciding whether to pursue a new technology or product line.

Sources: openstax-ch2-managerial-decision-making.pdf#p1, openstax-ch2-managerial-decision-making.pdf#p10, openstax-ch2-managerial-decision-making.pdf#p14, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p3, openstax-ch2-managerial-decision-making.pdf#p7, openstax-ch2-managerial-decision-making.pdf#p9, publisher-slides-standin.pptx#slide4

Decision-Making Process

- Step 1: Recognize that a decision needs to be made.
- Step 2: Generate multiple alternatives.
- Step 3: Analyze the alternatives.
- Step 4: Select an alternative.
- Step 5: Implement the selected alternative.
- Step 6: Evaluate its effectiveness.

Sources: openstax-ch2-managerial-decision-making.pdf#p14, openstax-ch2-managerial-decision-making.pdf#p15

Heuristics and Satisficing

- Heuristics are mental shortcuts based on prior experience.
- Heuristics help managers reach good decisions quickly.
- Satisficing selects the first acceptable solution.
- Satisficing minimizes time spent on a decision.
- Example: choosing generic products quickly when they are cheap enough.

Sources: openstax-ch2-managerial-decision-making.pdf#p10, openstax-ch2-managerial-decision-making.pdf#p14, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p7

Barriers to Effective Decisions

- Bounded rationality limits full rationality because information and processing are incomplete.
- Escalation of commitment keeps decision makers invested in poor decisions despite negative outcomes.
- Time constraints can prevent enough information collection and deep processing.
- Uncertainty means outcomes may be unknown until a choice is made.
- Personal biases favor familiar people, things, and ideas.
- Confirmation bias favors information that confirms existing beliefs.

Sources: objectives.md#Learning objectives, openstax-ch2-managerial-decision-making.pdf#p10, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p9

Improving Individual Decisions

- Be creative to generate more options.
- Conduct research and use evidence-based decision-making.
- Evidence-based decision-making relies on best available evidence and data.
- Engage in critical thinking.
- Think about long-term implications.
- Consider ethical implications.
- Talk to other people, especially mentors, to generate alternatives.

Sources: openstax-ch2-managerial-decision-making.pdf#p1, openstax-ch2-managerial-decision-making.pdf#p14, openstax-ch2-managerial-decision-making.pdf#p15, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p4

Common Logical Fallacies

- Non sequitur: the conclusion does not logically follow from the argument.
- For non sequiturs, examine arguments, assumptions, and supporting evidence.
- False cause: assuming that because two things are related, one caused the other.
- For false cause, ask whether another factor may explain the relationship.
- Ad hominem: attacking the person rather than the argument.
- For ad hominem, ask whether the argument would be persuasive if stated by someone else.

Sources: openstax-ch2-managerial-decision-making.pdf#p17

Advantages of Group Decisions

- Groups can incorporate different perspectives and ideas.
- Diverse groups bring different preferences, opinions, biases, and stereotypes.
- More people often bring unique information and knowledge.
- Group decision-making often generates more options.
- Brainstorming generates as many solutions or options as possible.
- Affected people may have greater understanding and commitment.

Sources: openstax-ch2-managerial-decision-making.pdf#p22, openstax-ch2-managerial-decision-making.pdf#p24, openstax-ch2-managerial-decision-making.pdf#p25

Disadvantages of Group Decisions

- Groups can get bogged down by conflict.
- Some groups push for agreement at the expense of quality discussion.
- Groupthink occurs when members withhold concerns to keep peace.
- Groupthink can arise from team spirit and fear of disrupting camaraderie.
- Suppression of dissent occurs when a member uses power to prevent others from speaking.
- Process conflict is task-oriented and constructive.
- Relationship conflict is personality-based and tends to be destructive.

Sources: openstax-ch2-managerial-decision-making.pdf#p22, openstax-ch2-managerial-decision-making.pdf#p25

Improving Group Decisions

- Have diverse members in the group.
- Diversity can generate more options and reduce bias.
- Assign a devil's advocate.
- A devil's advocate critiques group ideas to discourage groupthink.
- Encourage everyone to speak up and contribute.
- Help group members find common ground.

Sources: openstax-ch2-managerial-decision-making.pdf#p24, openstax-ch2-managerial-decision-making.pdf#p25

Conclusion

- Decision-making is a crucial daily activity for managers.
- Decisions range from small and simple to big and complex.
- Expertise develops through learning and experience.
- Managers should collect information, notice biases, consider ethics, and think critically.
- Effective decisions benefit the organization and its stakeholders.

Sources: objectives.md#Learning objectives, openstax-ch2-managerial-decision-making.pdf#p14, openstax-ch2-managerial-decision-making.pdf#p25, openstax-ch2-managerial-decision-making.pdf#p3